

Strategic Proposal: Transitioning NVIDIA Compute from Electronic to Photonic GPU Architectures

The semiconductor and artificial intelligence infrastructure industries stand at a critical inflection point. The scaling trajectories that have historically governed the proliferation of deep learning—dictated largely by Moore's Law and Dennard Scaling—are facing insurmountable physical, electrical, and thermal barriers. As the industry advances toward gigawatt-scale AI factories designed to support multi-trillion-parameter foundation models, the reliance on electron-based computation and copper interconnects has become an existential vulnerability. The strategic imperative for the future of high-performance computing (HPC) and artificial general intelligence (AGI) relies upon an aggressive, uncompromising transition to Photonic Integrated Circuits (PICs) and Optical Neural Networks (ONNs).

This comprehensive report details the physical, architectural, and economic rationales for fundamentally altering the existing electronic GPU roadmap in favor of a natively optical computing paradigm. By examining the physics of the compute bottleneck, the extreme energy utilization delta between electrical and photonic regimes, the maturation of the silicon photonics market, and the engineering hurdles associated with heterogeneous integration and data conversion, this analysis provides the foundational intelligence required to architect the next decade of market dominance.

1. The Physics of the Compute Bottleneck: Electrons vs. Photons

For decades, the computational capacity of Graphical Processing Units (GPUs) has been achieved through spatial scaling: shrinking silicon transistors to pack more logic and memory onto a monolithic die or an advanced multi-chip module. However, the fundamental physics of electron-based computing is reaching a rigid asymptotic limit, necessitating a shift to an entirely different information carrier.

1.1 The Thermal Death of Electronic Scaling

Contemporary electronic GPUs process and transport data via the movement of electrons through copper traces and silicon pathways. As electrons travel, they scatter off the atomic lattice of the conductive material, experiencing inherent electrical resistance¹. This resistance generates unavoidable waste heat, a phenomenon known as Joule heating. In the era of modern AI architectures, the thermal density of electronic GPUs has necessitated extraordinary cooling infrastructure, transitioning from forced air to direct-to-chip liquid cooling, and pushing rack power densities from 120 kW to upwards of 600 kW³.

At the microscopic level, the resistance-capacitance (RC) delay in copper interconnects severely bottlenecks clock frequencies. Even as transistor gate lengths shrink into the

single-digit nanometer or angstrom regimes, the interconnects linking these transistors do not scale favorably; they become thinner, more resistive, and more prone to electromigration¹. Consequently, a massive proportion of the energy budget in a modern AI cluster is not expended on mathematical computation, but rather on charging and discharging these wires to shuttle data across the chip, and on powering the cooling infrastructure required to prevent catastrophic thermal throttling¹. The von Neumann architecture, which mandates constant data fetching between the processing unit and memory, exacerbates this wire-charging penalty, rendering traditional digital architectures intrinsically inefficient for the dense matrix operations required by neural networks¹.

1.2 The Photonic Paradigm

Conversely, Photonic Integrated Circuits (PICs) compute and route data utilizing photons. Because photons lack rest mass and carry no electrical charge, they do not interact with one another and do not suffer from electrical resistance as they travel through dielectric optical waveguides, such as silicon-on-insulator (SOI) or silicon nitride¹. This physical reality yields two paradigm-shifting advantages for computing hardware: First, photons generate virtually zero heat during transit and travel at the speed of light within the refractive medium. This drastically reduces latency and entirely bypasses the RC delay inherent to copper wires¹. Optical interconnects consume merely 0.05 to 0.2 picojoules per bit of data transmitted, providing an overwhelming energy advantage over electrical interconnects across equivalent distances². Second, photonics introduces an orthogonal dimension of scalability: the spectrum. While electronic systems rely primarily on spatial multiplexing (adding more wires) or temporal multiplexing (clocking wires faster), optical computing leverages Wavelength Division Multiplexing (WDM)⁹. Through WDM, multiple independent data streams can be transmitted simultaneously through a single physical waveguide by utilizing different colors (wavelengths) of light⁷. This enables massively parallel, non-interfering data routing within the same spatial footprint, providing computational densities that electron-based architectures cannot replicate¹².

1.3 Optical Neural Networks (ONNs)

Neuromorphic photonics leverages these physical properties to construct artificial neural networks directly in the analog optical domain. In an ONN, optical signals represent neural activations, while tunable photonic elements—such as Mach-Zehnder Interferometers (MZIs) or Microring Resonators (MRRs)—act as synaptic weights⁷. By passing light through a precisely calibrated mesh of these components, the system executes Matrix-Vector Multiplications (MVMs) passively as the light propagates². The computation occurs at the speed of light, executing complex linear algebra operations essentially instantaneously and without consuming dynamic power during the calculation itself, positioning ONNs as the ultimate hardware for next-generation artificial intelligence².

Physical Property	Electron-Based Computing	Photon-Based Computing (Photonic Integrated
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	(State-of-the-Art GPU)	Circuit)
Information Carrier	Electrons (possess mass and charge)	Photons (massless, uncharged bosons)
Propagation Speed	Limited by RC delay and parasitic capacitance	Speed of light in the waveguide medium
Thermal Dissipation	High (Joule heating via copper resistance)	Near-zero during transit (dielectric waveguides)
Multiplexing Modality	Spatial (more pins/wires), Temporal (higher clock)	Spatial, Temporal, and Spectral (WDM)
Interference/Crosstalk	High crosstalk at high frequencies / close proximity	Zero crosstalk between distinct optical wavelengths

2. Energy Utilization: The Paradigm Shift from pJ/MAC to fJ/MAC

The most pressing bottleneck in modern deep learning is the energy cost of multiply-accumulate (MAC) operations. Deep neural networks, particularly large language models (LLMs) based on transformer architectures and attention mechanisms, are fundamentally composed of dense matrix multiplications¹¹. As model parameters scale into the trillions, the energy required to compute these matrices electronically is rendering the continued trajectory of AI computationally and environmentally unsustainable.

2.1 The Inefficiencies of the von Neumann Architecture

State-of-the-art electronic GPUs operate within the picojoule (10^{-12} Joules) per MAC range¹. As previously established, traditional von Neumann architectures separate the central processing unit from the memory¹. Executing a single MAC operation requires fetching the weight and activation from static random-access memory (SRAM) or high-bandwidth memory (HBM), transporting it across the chip to the arithmetic logic unit (ALU), performing the computation, and writing the result back. Research indicates that up to 80% of the energy consumed in an electronic neural network inference task is attributed to this continuous data movement rather than the arithmetic operation itself².

2.2 Femtojoule and Attojoule Regimes in Photonics

Neuromorphic photonics circumvents this limitation by performing In-Memory Computing (IMC) in the analog optical domain. Because the optical weights are physically encoded in the refractive index of the waveguide materials or the phase shifts of the optical components, the data does not need to be repeatedly fetched from separate memory banks². Light flows continuously through the programmed mesh, achieving passive computation.

Photonic accelerators aim for the femtojoule (10^{-15} Joules) per MAC scale, offering a theoretical energy efficiency improvement of two to three orders of magnitude over electronic counterparts¹. Advanced research utilizing specialized architectures, such as multi-synapse diffractive networks, has even demonstrated optical energy consumption approaching the attojoule (10^{-18} Joules) per MAC level under specific experimental conditions¹⁶. Furthermore, biological neural systems operate at approximately 1 attojoule per MAC; mimicking this efficiency in silicon requires moving away from discrete, sequential digital logic and embracing continuous, parallel analog physics¹.

2.3 The "System Tax": The ADC/DAC Bottleneck

Despite the near-zero energy cost of the optical core, the realization of fJ/MAC efficiency in deployable systems is currently stymied by the "analog tax"—the energy overhead required to interface analog optical circuits with digital electronic systems¹⁵. In a hybrid electronic-photonic accelerator, digital data must be converted to analog electrical signals, which then drive optical modulators to encode data onto light. Following the optical computation, the analog light intensity must be detected by photodiodes and converted back into the digital domain via Analog-to-Digital Converters (ADCs)¹⁵.

Extensive systems-level analysis reveals that these data converters can account for over 80% of the total system power in a photonic AI accelerator¹⁷. A breakdown of an optimized system often shows Digital-to-Analog Converters (DACs) consuming roughly 44% of the power, ADCs consuming 41%, and the actual photonic core and peripherals contributing a mere 15%¹⁸. This creates a paradoxical situation where the optical compute core is phenomenally efficient, but the electronic periphery neutralizes the energy gains, turning the data converter into the primary systemic bottleneck¹⁵.

Solving the ADC/DAC bottleneck requires aggressive algorithmic-hardware co-design. Because deep neural networks are inherently resilient to low-precision arithmetic, quantization-aware training allows the use of low-resolution converters (e.g., 4-bit to 6-bit ADCs/DACs) instead of standard 8-bit or 16-bit converters¹⁵. Since ADC energy consumption scales exponentially with bit precision, reducing precision from 8 bits to 4 bits drastically shrinks the power overhead, unlocking the true system-level efficiency of the optical core¹⁸. Conversely, DAC energy scales approximately linearly with bit precision, but repeated usage across input activations still makes quantization highly beneficial¹⁸. Once the converter bottleneck is optimized through quantization, the power bottleneck shifts to the optical modulators, which become responsible for roughly 55% of the remaining system budget, defining the next frontier for power optimization in optical computing¹⁸.

Subsystem	Electronic GPU Energy Contribution	Photonic GPU Energy Contribution
Compute Core (MACs)	High (~10-100 pJ/MAC)	Near-Zero (< 1 fJ/MAC) ¹
On-Chip Data Movement	High (Capacitive wire charging)	Near-Zero (Passive optical routing)
Peripheral Interface	Standard Digital I/O	Very High (ADC/DAC "Analog Tax") ¹⁵
Modulation	N/A	High (Next major bottleneck post-ADC) ¹⁸
Laser Power (Static)	N/A	High (Requires external continuous-wave lasers) ¹⁵

3. Architectural Implementations: Modalities of Optical Compute

The transition to optical GPUs will not rely on a single monolithic architecture, but rather a heterogeneous mix of specialized photonic circuits designed for distinct layers of the neural network topology. Several leading architectures are currently under intense research and early-stage commercialization, each presenting unique advantages in footprint, programmability, and scale.

3.1 Mach-Zehnder Interferometer (MZI) Meshes

MZI meshes represent the most mature architecture for coherent optical computing. An MZI works by splitting an incoming beam of light into two separate waveguide arms. By applying localized heat (via a micro-heater) or an electrical voltage to one of the arms, the refractive index of the material changes, thereby altering the phase of the light¹. When the two arms are recombined, the light waves undergo constructive or destructive interference, effectively modulating the amplitude of the output signal.

By cascading these MZIs into massive unitary meshes (such as the Reck or Clements designs), the system can perform arbitrary matrix-vector multiplications, implementing algorithms like Singular Value Decomposition (SVD) directly in hardware⁷. While highly accurate and programmable, MZI meshes are spatially large (often measured in hundreds of micrometers per unit) and the thermal phase shifters consume static power, typically 10 mW to 20 mW each, presenting severe scaling challenges for models with trillions of parameters⁵. Future designs utilizing phase-change materials (PCMs) or non-volatile heterogeneous quantum dot

architectures aim to provide memory capabilities without continuous thermal tuning, mitigating this energy draw⁷.

3.2 Microring Resonators (MRRs) and WDM

To overcome the massive spatial footprint of MZI meshes, MRR-based architectures leverage Wavelength Division Multiplexing. A microring resonator is a microscopic loop of waveguide placed adjacent to a straight bus waveguide. When light of a specific resonant wavelength travels through the straight waveguide, it couples into the ring and is effectively trapped or modulated⁷.

MRRs are incredibly compact, often less than 10 micrometers in radius. By assigning different input values to different wavelengths of light, a single waveguide can carry a massive parallel vector of data simultaneously¹⁰. A bank of MRRs can then apply weights to each specific wavelength independently. This "Broadcast-and-Weight" architecture enables massive fan-out and fan-in, mimicking the high interconnectivity of biological neural networks while utilizing a fraction of the physical area required by MZIs⁷. While highly promising, MRRs are extremely sensitive to thermal fluctuations and require precise bias-voltage control to quell thermal drift, ensuring stable resonance during computation⁷.

3.3 Diffractive Optical Neural Networks (D2NNs)

An entirely divergent approach relies on free-space optics and diffraction rather than guided on-chip waveguides. In a Diffractive Optical Neural Network, input data is encoded onto a light beam that passes through a series of specially engineered phase masks or spatial light modulators (SLMs)¹¹. Each point on the phase mask acts as a neuron, scattering the light according to Huygens' principle. The interference pattern created as the light propagates through successive layers inherently performs the complex matrix multiplications required for deep learning¹¹.

D2NNs offer unparalleled parallelism because the computation occurs in three-dimensional free space rather than being constrained to a 2D silicon plane¹⁴. Recent advancements in partitionable multilayer diffractive structures have solved previous setup alignment issues. By appropriately partitioning diffractive devices, D2NNs can be constructed flexibly without readjusting the optical path, preventing the exponential energy decay traditionally associated with multi-layer free-space optics²¹.

Experimental evaluations of these architectures show classification accuracies reaching 89.1% on the MNIST database, 81.0% on Fashion-MNIST, and up to 90.29% on CIFAR-10 utilizing multi-synapse network designs¹⁶. While exceptionally fast—processing classifications in picoseconds—and entirely passive, D2NNs currently face challenges regarding dynamic programmability, though advanced digital holograms and high-refresh-rate SLMs are rapidly addressing these dynamic reconfigurability issues¹⁶.

4. The Investment Chasm and Supply Chain Dynamics

The transition to optical compute is not occurring in a vacuum. It is being heavily catalyzed by the immediate, desperate need for higher bandwidth datacom transceivers to support AI

scale-out networks. Consequently, the commercial supply chain for silicon photonics is maturing rapidly, providing the industrial scaffolding necessary to manufacture fully integrated optical GPUs.

4.1 Silicon Photonics Market Valuation and Growth

The global silicon photonics market is experiencing explosive growth. Industry projections value the market at approximately \$3.1 billion to \$3.6 billion in 2025/2026, with an expected expansion to between \$15.3 billion and \$16.2 billion by 2033²⁴. This represents a robust Compound Annual Growth Rate (CAGR) ranging from 23% to 27%²⁴. The United States remains the most advanced commercial market globally, though the Asia-Pacific region is recognized as the fastest-growing hub for manufacturing and deployment due to aggressive investments in data center expansion²⁸.

Currently, this market is dominated by the demand for 400G and 800G optical transceivers, particularly Wavelength-Division Multiplexing (WDM) filters and active optical cables²⁵. Data center operators are purchasing millions of these units to construct the non-blocking topologies necessary for AI training clusters. However, the roadmap clearly indicates a shift away from pluggable transceivers and toward Co-Packaged Optics (CPO) and integrated optical compute²⁵.

4.2 Heterogeneous Integration: The Material Science Challenge

To bring optical GPUs to parity with electron-based GPUs, the semiconductor industry must solve a fundamental material limitation: Silicon, due to its indirect bandgap, is an extraordinarily poor emitter of light. Therefore, silicon alone cannot reliably generate the photons required for computation³⁴.

Creating a complete photonic system-on-chip requires heterogeneous integration—combining silicon photonics with III-V compound semiconductors, such as Indium Phosphide (InP) or Gallium Arsenide (GaAs), which possess direct bandgaps and are capable of efficiently generating and amplifying light³⁴. The III-V on silicon photonics market itself is projected to reach \$12.15 billion by 2033, driven by the critical necessity to integrate lasers, modulators, and photodetectors seamlessly onto silicon substrates³⁴.

Integrating these divergent materials at wafer scale is complex. Current approaches involve:

1. **Monolithic Integration:** Growing III-V materials directly on silicon substrates via epitaxy. This approach minimizes interconnect losses and increases reliability but is highly complex due to lattice mismatches between the disparate materials²⁹.
2. **Hybrid Integration/Co-Packaging:** Manufacturing the silicon photonic circuits and the III-V lasers in separate foundries, and then bonding them together at the package level using advanced wafer vacuum assembling equipment and hybrid bonding techniques²⁹. The market for wafer vacuum assembling equipment is expanding concurrently to support these advanced packaging requirements, projected to grow from \$2.3 billion in 2025 to \$3.6 billion by 2033³⁵.

4.3 The Foundry Ecosystem and Geopolitics

The maturation of silicon photonic foundries is essential for realizing economies of scale. The

silicon photonics wafer foundry market is projected to reach \$2.96 billion by 2034, fueled by the demand for 800G optical components and emerging Co-Packaged Optics³⁶. However, geopolitical factors deeply influence this supply chain. Technology export restrictions and trade policies are prompting localized regional investments, with the United States and the European Union pouring hundreds of millions of dollars into public-private partnerships to secure domestic integrated-photonics supply chains and avoid dependency on Asian semiconductor manufacturing²⁴.

Market Segment	2025/2026 Estimated Value	2033/2034 Projected Value	CAGR Projection	Primary Growth Drivers
Global Silicon Photonics	~\$3.6 Billion	~\$15.6 Billion	~23% - 27%	800G Transceivers, CPO, AI Compute ²⁴
III-V on Silicon Photonics	~\$1.62 Billion	~\$12.15 Billion	~22.8%	InP Lasers, GaAs Detectors, Monolithic Integration ³⁴
Wafer Vacuum Assembling	~\$2.3 Billion	~\$3.6 Billion	~5.5%	2.5D/3D Hybrid Bonding, Compound Semiconductor Packaging ³⁵
Silicon Photonics Foundry	~\$0.9 Billion	~\$2.96 Billion	~14.2%	Mass production of integrated PICs and optical switches ³⁶
Optical Neural Network	~\$2.8 Billion	~\$18.4 Billion	~24.5%	Enterprise deployment, energy efficiency

Chips				mandates, low latency ³⁷
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5. NVIDIA's Strategic Baseline and The "Feynman" Trajectory

NVIDIA is acutely aware of the impending bandwidth and thermal walls, and has already initiated a multi-generational strategy to inject optics into its hardware ecosystem. The roadmap transitions from optical networking, to co-packaged optics, and ultimately toward fully integrated optical compute.

5.1 The Initial Pivot: Co-Packaged Optics (CPO) in AI Networking

The immediate near-term strategy focuses on overcoming the limitations of standard pluggable optical transceivers. In a conventional data center, electrical signals from a GPU or switch must travel across a printed circuit board (PCB) to reach a pluggable transceiver at the faceplate, which then converts the signal to light. At gigabit and terabit speeds, driving these electrical signals across the PCB requires immense power and induces severe signal degradation. To resolve this, NVIDIA is heavily investing in Co-Packaged Optics. As announced with the Spectrum-X800 Ethernet and Quantum-X800 InfiniBand switch platforms, CPO moves the silicon photonics engine directly onto the same substrate as the network ASIC³². By shortening the electrical trace to mere millimeters, CPO technology delivers a 5x improvement in power efficiency and significantly lowers network latency by eliminating the need for complex digital signal processing (DSP) retimers³².

5.2 The OCI MSA Consortium: Standardizing the Physical Layer

Realizing that the optical transition requires a unified, high-volume supply chain, NVIDIA operates as a founding member of the Optical Compute Interconnect (OCI) Multi-Source Agreement (MSA), alongside Meta, Broadcom, AMD, Microsoft, and OpenAI³⁸. The OCI standard defines a common optical physical layer (PHY) specifically engineered to replace copper for scale-up architectures.

The initial OCI specifications mandate Non-Return-to-Zero (NRZ) modulation paired with Wavelength Division Multiplexing (WDM), starting with 4-wavelength (Gen 1) and scaling to 8-wavelength (Gen 2) configurations to deliver up to 3.2 Tbps per fiber³⁸. By enforcing this standard, NVIDIA ensures a multi-vendor ecosystem for lasers, fibers, and photonic connectors, preventing supply chain bottlenecks while simultaneously pushing the industry away from module-centric transceivers to silicon-centric optical I/O³⁸. Crucially, while the physical layer becomes standardized, NVIDIA retains its proprietary moat by running the logical layer via its proprietary NVLink standard³⁸.

5.3 The Feynman Architecture: Direct-to-Package Photonics

The trajectory of NVIDIA's roadmap culminates in the "Feynman" architecture, projected for deployment around 2028 following the Blackwell and Rubin generations⁴. Feynman is designed

as the bedrock for gigawatt-scale AI factories, treating the entire data center as a single, cohesive engine³⁸.

In the Feynman platform, the scale-up fabric fundamentally transitions from copper-based backplanes to native Co-Packaged Optics integrated directly onto the GPU package³⁸. This Optical NVLink will enable massive GPU-to-GPU bandwidth across hundreds of meters using a fraction of the power required by electrical NVLink⁴⁰. While current NVLink 2.0 requires approximately 8 picojoules per bit (pJ/b) and is strictly constrained by distance, the proposed optical equivalent aims to operate at 4 pJ/b while transmitting data across the entire data center footprint⁴⁰. This transition effectively shatters the physical confines of the server rack, allowing the dynamic pooling of thousands of GPUs into a unified memory space⁴⁰. Furthermore, NVIDIA is expected to utilize Optical Circuit Switching (OCS) to route these connections dynamically, underpinned by strategic investments such as a \$2 billion agreement with Lumentum for MEMS-based mirror systems³⁸.

5.4 NVIDIA Research: Pushing the Algorithmic Frontier

Beyond networking, NVIDIA Research is actively exploring native optical computing. A prime example is the development of *MediONN*, an integrated photonic neural network chip optimized for 3D medical image segmentation¹⁹. Prior optical computing research largely focused on simple 1D image classification; medical image segmentation demands voxel-wise output, multi-scale spatial reasoning, and volumetric consistency¹⁹.

By integrating a custom 4x4 optical processor into a hierarchical 3D computational pipeline, MediONN demonstrated that optical hardware can handle dense spatial predictions¹⁹. In empirical tests, MediONN achieved a computational density of ~225 TOPS/mm², vastly exceeding the density of standard electronic accelerators like the Tensor Processing Unit (TPU), which operates at roughly 0.28 TOPS/mm²¹⁹.

Furthermore, NVIDIA researchers have proposed paradigms like *KirchhoffNet*, a novel computing framework for generative AI inspired by the physical behaviors of electronic-photonic circuits, bridging the gap between deep learning algorithms and analog hardware execution⁴². These foundational research initiatives confirm that NVIDIA views photonics not merely as a networking medium, but as a substrate for active mathematical computation.

6. Strategic Imperatives for Executive Leadership

To maintain an unassailable monopoly over AI infrastructure, NVIDIA must rapidly accelerate its transition from electronic to photonic architectures. The industry is currently bifurcated: established electronic giants are slowly adopting optical interconnects, while heavily venture-funded startups (such as Lightmatter, Lightelligence, and Celestial AI) are building native optical processors from the ground up³⁷. NVIDIA must subsume the latter to protect the former.

6.1 Proactively Cannibalize the Electronic Roadmap

NVIDIA's current financial supremacy is built upon the Hopper and Blackwell architectures. However, protecting this legacy silicon at the expense of photonic innovation is a strategic

hazard. The thermal death of Moore's Law dictates that purely electronic scaling will soon yield diminishing returns on power-to-performance metrics. NVIDIA must aggressively fund the commercialization of Photonic GPUs—chips that perform MAC operations optically—even if it cannibalizes the next-generation electronic GPU roadmap. The goal is to move the computation itself, not just the data transfer, into the photonic domain.

6.2 Monopolize the III-V / Silicon Photonics Supply Chain

The bottleneck for photonic scaling is manufacturing. As established in Section 4, silicon photonics requires the heterogeneous integration of Indium Phosphide or Gallium Arsenide lasers. Supplying millions of optical GPUs will require unprecedented volumes of highly reliable, continuous-wave multi-wavelength lasers.

To achieve 16-wavelength WDM using discrete laser assembly requires over a hundred precision-aligned lasers per package—an assembly nightmare that erodes optical budgets and cannot scale to hyperscale volumes⁴³. NVIDIA must execute aggressive mergers, acquisitions, and exclusive foundry agreements to secure the III-V supply chain, focusing on foundries capable of integrating lasers directly onto the wafer as circuit elements⁴³. By monopolizing access to advanced wafer vacuum assembling equipment, specialized hybrid bonding foundries, and top-tier indium phosphide epitaxy specialists, NVIDIA can starve potential competitors of the hardware necessary to build photonic accelerators.

6.3 Aggressive Hardware-Algorithm Co-Design (CUDA for Optics)

The dominant moat securing NVIDIA's current market position is not solely hardware, but the CUDA software ecosystem. Transitioning to an analog optical compute environment risks abandoning this moat if not managed precisely. Photonic chips compute differently than digital logic gates; they suffer from analog noise, phase drift, thermal sensitivity, and require complex ADC/DAC interfacing¹⁴.

NVIDIA must immediately expand the CUDA stack to natively support optical hardware modeling. This includes building compiler toolchains that automatically perform "quantization-aware training" to reduce the ADC/DAC precision requirements down to 4-bit or 6-bit, entirely mitigating the analog tax¹¹. Furthermore, the software must account for physical non-idealities (such as laser relative intensity noise, thermal crosstalk, and optical insertion loss) during the training phase in software, ensuring that when the weights are transferred to the physical photonic mesh, the network operates with peak fidelity¹⁵. By embedding optical hardware constraints directly into NVIDIA's proprietary AI software ecosystem, the company will lock developers into its photonic hardware just as effectively as it did with electronic GPUs.

6.4 Exploit the OCI Standard to Drive CPO Adoption

While the OCI MSA establishes an open standard for optical interconnects, NVIDIA must leverage its position as a founding member to dictate the standard's evolution. By ensuring that OCI remains optimized for NVIDIA's NVLink protocol at the logical layer, the company can utilize third-party laser and connector suppliers to reduce its own bill of materials, while simultaneously ensuring that all roads lead back to an NVIDIA GPU.

The transition to Co-Packaged Optics via the Feynman architecture in 2028 will validate the

reliability of optics on the GPU package³⁸. Once the ecosystem is comfortable with lasers and waveguides residing mere millimeters from the compute die, the subsequent transition—replacing the electronic arithmetic logic units with photonic MVM cores—will face significantly lower integration friction.

7. Conclusion

The semiconductor industry is rapidly approaching the terminal limits of von Neumann, electron-based computation. Joule heating, RC delay, and capacitive wire charging are enforcing a rigid barrier to the gigawatt-scale AI factories required for the next generation of large language models. The physics of light—offering massless, zero-heat propagation, and extreme spectral parallelism via Wavelength Division Multiplexing—represents the only viable escape velocity from this thermal trap.

Photonic Integrated Circuits and Optical Neural Networks possess the capacity to execute matrix multiplications at the speed of light, transitioning the energy cost of a MAC operation from the picojoule to the femtojoule regime. While significant hurdles remain—namely the high power consumption of digital-to-analog converters (the "analog tax") and the complex manufacturing requirements of integrating III-V lasers onto silicon substrates—the trajectory is undeniable. The global silicon photonics market is projected to surge past \$15.6 billion by 2033, heavily driven by the insatiable data demands of hyperscale AI infrastructure.

NVIDIA is perfectly positioned to capture this paradigm shift. By extending the Co-Packaged Optics framework of the Spectrum-X and Quantum-X networking platforms to the package-level Optical NVLink of the upcoming Feynman architecture, the foundation is already being laid. However, to secure absolute dominance in post-Moore's Law computing, executive leadership must proactively pivot R&D capital away from marginal electronic scaling and toward native optical computation. By monopolizing the III-V supply chain, expanding CUDA to embrace analog quantization-aware training, and fielding the first commercially viable Photonic GPU, NVIDIA will definitively cement its monopoly over the infrastructure of artificial general intelligence for the next century.

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